



NAIROBI BUSINESS VENTURES PLC

FINANCIAL RESULTS FOR THE SIX-MONTH PERIOD ENDED 30TH SEPTEMBER 2023

THE BOARD OF DIRECTORS OF NAIROBI BUSINESS VENTURES PLC IS PLEASED TO ANNOUNCE THE UNAUDITED INTERIM FINANCIAL RESULTS OF THE GROUP AND COMPANY FOR THE SIX-MONTH PERIOD ENDED 30TH SEPTEMBER 2023 AS SET OUT BELOW

CONSOLIDATED AND COMPANY STATEMENTS COMPREHENSIVE INCOME FOR THE SIX-MONTHS PERIOD ENDED 30TH SEPTEMBER 2023				
KES '000	GROUP		COMPANY	
	SEPTEMBER 2023	SEPTEMBER 2022	SEPTEMBER 2023	SEPTEMBER 2022
Trading Business:				
Sales	543,044	348,378	282,071	85,926
Direct and other operating costs	390,220	220,111	258,058	73,297
Gross Profit/(Loss)	152,824	128,267	24,013	12,629
Administrative and other costs	116,235	124,400	2,283	11,457
Profit Before Tax	36,589	3,867	21,730	1,172
Tax Charge	4,340	-	-	-
Profit After Tax	32,249	3,867	21,730	1,172

CONSOLIDATED AND COMPANY STATEMENTS OF FINANCIAL POSITION AS AT 30TH SEPTEMBER 2023				
KES '000	GROUP		COMPANY	
	SEPTEMBER 2023	SEPTEMBER 2022	SEPTEMBER 2023	SEPTEMBER 2022
Portfolio Investments	-	-	428,756	428,756
Cash and Cash Equivalents	10,186	22,571	1,262	12,540
Inventory	443,811	427,814	-	24,569
Other assets	2,586,874	2,532,438	243,338	89,288
Goodwill (Business combination)	-	-	124,500	124,500
Total Assets	3,040,871	2,982,823	797,856	679,653
Borrowings	455,698	523,331	-	-
Other liabilities	714,183	630,354	123,119	34,402
Total Liabilities	1,169,881	1,153,685	123,119	34,402
Total Equity	1,870,990	1,829,138	674,737	645,251
Share Premium	-	-	-	-
Total Capital and Liabilities	3,040,871	2,982,823	797,856	679,653

CONSOLIDATED AND COMPANY STATEMENT OF CHANGES IN EQUITY AS AT 30TH SEPTEMBER 2023				
KES '000	GROUP		COMPANY	
	SEPTEMBER 2023	SEPTEMBER 2022	SEPTEMBER 2023	SEPTEMBER 2022
Share Capital	685,957	685,956	676,856	676,855
Share Premium	51,400	51,400	51,400	51,400
Other Reserves	1,770,000	1,770,000	-	-
Retained Earnings	(83,111)	(124,962)	(53,519)	(83,004)
Proposed Dividends	-	-	-	-
Non-Controlling interests	-	-	-	-
ADJUSTMENT FOR INVESTMENT IN SUBSIDIARIES	(553,256)	(553,256)	-	-
Total	1,870,990	1,829,138	674,737	645,251

CONSOLIDATED AND COMPANY STATEMENT OF CASH FLOWS FOR THE SIX-MONTH PERIOD ENDED 30TH SEPTEMBER 2023				
KES '000	GROUP		COMPANY	
	SEPTEMBER 2023	SEPTEMBER 2022	SEPTEMBER 2023	SEPTEMBER 2022
Net Cash from Operations	6,142	36,768	(41,761)	7,993
Net cash used in investing activities	(630)	(79)	-	-
Cash generated from/(used in) financing activities	(25,773)	(24,883)	-	-
Opening Cash and Cash Equivalents	(88,068)	(125,631)	43,023	4,547
Closing cash and cash equivalents	(108,329)	(113,825)	1,262	12,540

INTRODUCTION

We hereby present the Half Year un-audited financial results of the Group and Company, for the period 1st April 2023 to 30th September 2023.

FINANCIAL PERFORMANCE

Group Performance

For the 6 months' period April 2023 to September 2023 the combined Group revenues were Kshs 543.04 million compared to Kshs 348.37 million in the previous year, same period. The increase in revenue was mainly attributed to the increase in sales in the trading business due to increased orders for chemical products. Total direct and other operating expenses amounted to Kshs. 390.22 million (2022 was Kshs. 220.11 million), resulting in a Gross profit of Kshs. 152.82 million (2022 was Kshs. 128.26 million). Administrative and other costs amounted to Kshs. 116.23 million (2022 was Kshs. 124.4 million) resulting in Profit Before Tax of Kshs. 36.58 million (2022 was Kshs. 3.86 million). The increase in profit was attributed to increased business in the trading division as well as in the aviation division.

Trading Division

The Company contributed a revenue of Kshs 282.07 million during the 6 months' period under review and generated a Net Profit before tax of Kshs 21.7 million. The performance of the division was mainly attributed to increased sales of chemical products in the region.

Automobile Division

Delta Automobile Ltd continues to provide quality service in repair and maintenance of Heavy Commercial Trucks. The Company contributed a revenue of Kshs 227.45 million during the 6 months' period under review and generated a Net Profit before

tax of Kshs 14.46 million. The drop in revenue compared to the previous year same period (Kshs. 247.08M) was mainly attributed to a reduction in road transport due to the high operational costs leading to low maintenance of vehicles.

Aviation Division

This Division comprises of Aviation Management Solutions Ltd (AMS) and Air Direct Connect Ltd (ADC). AMS manages the hangar while ADC runs the repair and maintenance of various aircraft types and provides other support services. These subsidiaries reported a combined turnover of Kshs. 33.52 million for the six months under review, and managed to break even.

Future Outlook

The Group continues to find ways of growing its business across all the divisions, despite the harsh economic environment, uncertainty and spiralling operational costs. The Board remains optimistic that the strategies put in place will mitigate against these challenges and ensure that costs are contained while growing the revenues. The Board and Management of the Company is highly committed to the good performance of all its divisions in order to build a strong, sustainable and profitable business group.

Dividend

The Board of Directors did not declare any dividend for the period under review.

By Order of the Board

Haresh V. Soni
Chief Executive Officer
Dt. 09-11-2023.